like a glove. The last plateau period lasted from 1921 to 1929, and the market went crazy."

The April 1983 Special Report (which is reprinted in its entirety in Appendix A of *Elliott Wave Principle*) corrected the timing error and showed the "Economic K-Wave" (see Figure 3-2) as having begun in 1949, 53 years after the preceding bottom, as it should have. That was the year that Supercycle wave IV ended in the CPI-adjusted Dow, which is important in displaying the current cycle because of the disengagement in the twentieth century of the U.S. dollar from any concrete anchor.

Although the debt liquidation phase of the last cycle ended in 1948/1949, that was not the most *severe* point of debt liquidation because the Elliott Wave pattern for Cycle wave IV was a triangle, which produced an early low in prices even though the cycle was still in effect. Wave A into 1932 was the most severe, and wave C into 1942 was the next most severe. The recession of 1948-1949 was simply a mopping up at the end of the cycle. This analysis correctly placed the entire cycle seven to seventeen years beyond the position that others had assumed. Thus, it had become clear by 1982 that the cycle was following its classic time schedule, if not classic profiles at its trough and peak. The result was that the plateau was due to carry not to "the early 1980s," but to the early *1990s*. Figure B-2 is the idealized diagram shown in *Elliott Wave Principle*, with the appropriate corrections added to the last cycle.

Analysis

The reason that a discussion of the Kondratieff cycle appears warranted for this book is that the current cycle has followed the typical script fairly closely. From 1949 came two decades of rising stock prices and economic expansion, with a background of monetary stability involving mild inflation. Then came a decade of accelerating inflation and falling paper asset markets. The end of this period was signaled by the sharp recession in business activity of 1980-1982, which squelched the inflation. The next event due was the plateau, which has unfolded in textbook fashion. Disinflation has reigned throughout, producing "relatively prosperous times, and a strong bull market in stocks," exactly as *Elliott Wave Principle* had forecasted. Note that our description was for "relatively" prosperous times, not broadly prosperous ones. Accordingly, the economy has expanded substantially, yet without the robustness of the first phase of the cycle in the 1950s and 1960s. The plateau period al-